

## 2.3 FACTORS OF PRODUCTION

Microeconomics by Topic  
2. Production

### MARKING SCHEME

|                    |                          |                              |                          |                          |
|--------------------|--------------------------|------------------------------|--------------------------|--------------------------|
| 1990/CE/II/13<br>D | 1999/CE/II/11<br>A       | 1994/CE/II/16<br>A           | 2007/CE/II/17<br>A (69%) | 1995/CE/II/19<br>B       |
| 1991/CE/II/10<br>B | 2000/CE/II/14<br>B       | 1995/CE/II/18<br>A (deleted) | 2007/CE/II/18<br>B (28%) | 1997/CE/II/57<br>A       |
| 1992/CE/II/07<br>D | 2003/CE/II/16<br>B (20%) | 1998/CE/II/16<br>D           | 2010/CE/II/17<br>D (82%) | 2001/CE/II/12<br>D       |
| 1993/CE/II/08<br>B | 2005/CE/II/15<br>C (80%) | 2000/CE/II/13<br>A           | 2016/DSE/I/06<br>B (84%) | 2004/CE/II/14<br>D (84%) |
| 1996/CE/II/15<br>D | 2007/CE/II/16<br>C (41%) | 2001/CE/II/09<br>B           | 1990/CE/II/28<br>D       | 2006/CE/II/13<br>A (79%) |
| 1997/CE/II/13<br>B | 2008/CE/II/14<br>B (84%) | 2001/CE/II/11<br>B           | 1991/CE/II/07<br>D       | 2019/DSE/I/08<br>B       |
| 1998/CE/II/12<br>D | 2009/CE/II/15<br>A (83%) | 2002/CE/II/15<br>D (50%)     | 1992/CE/II/08<br>B       | 2020/DSE/I/6<br>D        |
| 2025/DSE/I/36<br>A |                          |                              |                          |                          |

*Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.*

1991/CE/I/4(a)(i)

Yes, because

he makes decisions and bears risks in a firm.

(1)

(2)

1995/CE/I/11(b)

The distinctive economic role is that Mr Ip belongs to entrepreneurship, because he has to bear the risk of the business / formulate policies.

(1)

(1)

Mary does not belong to entrepreneurship / she belongs to labour, because she does not have to bear risk / she provides human effort in production.

(1)

(1)

1996/CE/I/4(b)

A traffic light is a man-made resource used for production.

(2)

1997/CE/I/1

Entrepreneurship, because

(1)

he bears risk / makes decisions.

(1)

Labour, because

(1)

he provides human effort in production.

(1)

2000/CE/II/3

It is man-made and it is used for production.

(2)

2004/CE/I/9(e)

Capital, because

(1)

those cars are man made resources (used for production).

(1)

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2005/CE/I/2

Entrepreneurship, because (1)

he bears risks / makes decisions. (1)

Labour, because (1)

he provides human effort in production. (1)

2014/DSE/II/2(a)

Entrepreneurship, because (1)

he bears business risk and makes business decisions. (1)

2016/DSE/II/10(b)

Land, because (1)

it is a natural resource which is a gift of nature. (1)

2018/DSE/II/2(b)

Entrepreneurship, because (1)

she bears business risk. (1)

2021/DSE/II/1b

(b) Capital goods, when the riders use them to help further production, i.e. delivery service.. (2)

OR

Consumption goods, when the riders use them for self-consumption, e.g. playing games.

2023/DSE/II/2(a)

(a) Capital, because (1)

it is a man-made resource used in production. (1)